

CAPITAL MARKETS

Grubb's REIT Rollup Is a Time Trade. The Structure Is the Strategy.

A \$1.9B nontraded REIT consolidates 45 properties. The real story is how time becomes a cost of capital.

July 22, 2026 · Bisnow National · 4 min read

A source-grounded Light Tower Insight. The complete note follows.

Grubb Properties did not just merge funds this week. It bought time.

The Charlotte-based sponsor consolidated several legacy high-net-worth funds into Link Apartments REIT, a newly formed nontraded vehicle valued at roughly \$1.9 billion across 45 properties and more than 5,600 apartments. The move came alongside a \$617 million recapitalization that included a \$300 million senior construction loan from Maxim Capital Group and a \$77 million mezzanine loan co-originated by four firms for 8 Carlisle, a 64-story Manhattan tower now topping off.

The transaction is not primarily about scale, though the balance sheet is larger. It is not primarily about simplicity, though the spokesperson cited that as a goal. It is about the cost of time.

Every fund with a finite life carries a clock. High-net-worth vehicles typically have 7-to-10-year terms, after which the sponsor must return capital, sell assets, or find an extension. As those clocks converge across multiple funds, the sponsor faces a compounding problem: each individual fund's maturity is a separate negotiation, a separate liquidity event, and a separate source of pressure. Consolidating them into a single nontraded REIT resets the timeline. The REIT has no fixed termination date. It can hold assets through the cycle, refinance on its own schedule, and avoid the forced sale that a fund wind-down would require.

That is the hidden signal in this deal. The structure is the strategy.

Grubb is not selling into a market where multifamily pricing has fully recovered. Second-quarter apartment absorption hit 124,600 units, among the highest in 25 years, and vacancy is finally falling after a supply wave. But the repricing of 2022-2024 left many 2021-vintage fund assets with basis that would not clear today without a discount. A fund liquidation would force those losses into the open. A REIT rollup defers them, allowing the portfolio to earn its way back to par through operations and time.

The \$617 million in financing supports that deferral. The \$300 million construction loan for 8 Carlisle is a bet on lease-up, not on exit. The \$77 million mezzanine piece, co-originated by four firms, is a bet that the Manhattan rental market will absorb 462 units at premium rents before the senior

loan matures. Both are time-dependent instruments. Neither would have been available to a fragmented fund structure with scattered maturities and no single balance sheet.

The credit facility for the separate Link Apartments Opportunity Zone REIT adds another layer. That vehicle, formed a few years ago through its own fund merger, now has a \$240 million line. The OZ REIT holds 17 properties. The remaining individually owned assets are fewer than 10. Grubb has effectively consolidated its entire operating platform into two vehicles, each with a multiyear horizon and no public listing pressure.

The nontraded REIT structure is not new. But its use here is precise. It allows the sponsor to control the timing of capital events rather than being controlled by them. A public REIT must answer to quarterly earnings expectations and same-store NOI comparisons. A nontraded REIT answers only to its board and its investors, who have already committed to a long-duration hold. The trade-off is liquidity: investors cannot easily exit. But that is exactly the point. The structure aligns the capital with the asset's natural holding period, which for stabilized multifamily is often 10 to 15 years, not the 7 years a fund typically allows.

The JLL teams that structured the financing deserve attention. The release notes that JLL coordinated M&A, corporate banking, and debt and equity advisory to sequence the transactions. That sequencing is the technical work that makes the strategy real. The senior loan, the mezzanine, the credit facility, and the fund merger had to close in the right order, with the right intercreditor agreements, to create a single capital stack that the market would accept. One misstep and the whole structure would have been a collection of parts, not a machine.

For other sponsors sitting on multiple fund vehicles with staggered maturities, the question is not whether to consider a similar rollup. It is whether they have the asset quality and sponsor credibility to execute one. Grubb had a flagship development in 8 Carlisle that could anchor the new REIT's portfolio and attract construction financing. It had a track record with JLL that allowed the brokerage to commit resources across multiple product lines. And it had a base of high-net-worth investors willing to exchange their fund interests for REIT shares, accepting less liquidity in return for more

time.

Not every sponsor has those ingredients. Those that do should be testing this structure now, before the next wave of fund maturities arrives. Those that do not should be preparing for the alternative: a forced sale into a market that is still pricing on basis, not on hope.

The REIT is not open for new investment, and there are no plans to pursue a public listing. That is not a limitation. It is a signal that the capital is already in place, the time has been purchased, and the work now is operating, not fundraising.

Time is the most expensive ingredient in any capital decision. Grubb just paid for more of it. The market should watch what it does with it.

SOURCES

— Bisnow National —

<https://www.bisnow.com/national/news/capital-markets/grubb-merges-funds-forms-nearly-2b-dollar-nontraded-apartment-reit-135501>

LIGHT TOWER GROUP